26STCV11167 26STCV11167

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Case Number: 26STCV11167 Hearing Date: August 14, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Demurrer — with Motion to Strike.

The Demurrer is sustained without leave to amend. The Motion to Strike is denied as moot.

BACKGROUND

Plaintiff Intelligent Media Productions, LLC (Plaintiff) filed this action against Roku, Inc. (Defendant), alleging that Defendant failed to pay the final installment of the license fee for the film Singleholic, which Plaintiff claims by assignment from the licensor.

The causes of action are: (1) Breach of Contract; and (2) Breach of the Implied Covenant of Good Faith and Fair Dealing.

Defendant filed a combined Demurrer and Motion to Strike. Plaintiff filed an Opposition.

REQUEST FOR JUDICIAL NOTICE

Defendant requests judicial notice of seven exhibits.

Exhibits C through G are records of the California Secretary of State, the Franchise Tax Board, and the Georgia Secretary of State. The Court notices their existence and contents and the official acts they reflect. (Evid. Code, § 452, subds. (c), (h).) The Entity Status Letter within Exhibit E bears a mark beside each of its five mutually exclusive conditions, so the Court does not rely on that page.

Exhibits A and B are the Term Sheet and the Letter of Assignment and Transfer of Rights. Only relevant material may be noticed. (Mangini v. R.J. Reynolds Tobacco Co. (1994) 7 Cal.4th 1057, 1063, overruled on another ground in In re Tobacco Cases II (2007) 41 Cal.4th 1257, 1276.) The disposition does not turn on the contents of either instrument, so the Court does not notice them.

LEGAL STANDARD

When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-721.) The defects must appear on the face of the pleading or by proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or the facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) Courts therefore assume the truth of the complaint’s properly pleaded and implied factual allegations. (Ibid.) They do not assume the truth of deductions, contentions, or conclusions of law or fact. (Stonehouse Homes LLC v. City of Sierra Madre (2008) 167 Cal.App.4th 531, 538.)

ANALYSIS

I. Capacity

Defendant argues that Plaintiff cannot maintain this action because Plaintiff sues only as the assignee of a California corporation whose corporate powers have been suspended for nonpayment of taxes. (Dem., pp. 14-16.)

A demurrer under Code of Civil Procedure section 430.10, subdivision (b) lies when the person who filed the pleading lacks legal capacity to sue. (Code Civ. Proc., § 430.10, subd. (b).) Suspension of corporate powers under Revenue and Taxation Code section 23301 deprives a corporation of the capacity to sue. (Color-Vue, Inc. v. Abrams (1996) 44 Cal.App.4th 1599, 1603-1604 (Color-Vue, Inc.).) The objection is “a plea in abatement which is not favored in law, is to be strictly construed and must be supported by facts warranting the abatement” at the time of the plea. (Traub Co. v. Coffee Break Service, Inc. (1967) 66 Cal.2d 368, 370 (Traub Co.).) A defendant may raise it by demurrer or as an affirmative defense in the answer. (United Medical Management Ltd. v. Gatto (1996) 49 Cal.App.4th 1732, 1740 (United Medical).) A plea in abatement is timely where it is raised “in the original answer or by demurrer at the time of the answer.” (Color-Vue, Inc., supra, 44 Cal.App.4th at p. 1604.)

An assignee sues without prejudice to any set-off or other defense existing at the time of, or before, notice of the assignment. (Code Civ. Proc., § 368.) “The general rule is that an assignee of a chose in action is subject to all equities and defenses existing at or before the notice of the assignment.” (Bliss v. California Co-op. Producers (1947) 30 Cal.2d 240, 250.) The Court of Appeal has applied that rule to a suspended assignor. Where the assignor was suspended when it made the assignment and remained suspended when the assignee sued, the incapacity defense assertable against the assignor is assertable against the assignee. (Cal-Western Business Services, Inc. v. Corning Capital Group (2013) 221 Cal.App.4th 304, 311-312 (Cal-Western).)

Here, the Complaint pleads that Defendant contracted with Chase Hollywood Inc. on December 14, 2021, and that Plaintiff’s entire interest in the license fee comes from that corporation’s assignment dated December 15, 2021. (Compl., ¶¶ 10, 12.) The Secretary of State’s record for Chase Hollywood Inc. lists its status as suspended by the Franchise Tax Board, with an inactive date of March 1, 2018, and the Franchise Tax Board’s entity search shows the same status. (RJN, Exhs. D, E.) The suspension preceded both the licensing agreement and the assignment. (RJN, Exh. D; Compl., ¶¶ 10, 12.) Plaintiff concedes that its claims are subject to the defenses assertable against Chase Hollywood Inc., including suspended-corporation incapacity, and that the corporation was suspended when the Complaint was filed. (Opp., p. 9.) The facts warranting abatement therefore existed when Defendant made the plea. (Traub Co., supra, 66 Cal.2d at p. 370.)

Plaintiff argues that Cal-Western turned on a fact absent here, because the assignee in that case told the trial court it would not revive its assignor, while Chase Hollywood Inc. has filed its delinquent returns and is negotiating payment of what it owes. (Opp., p. 10:7-12.) In Cal-Western, the significance of the assignee’s representation that it had no intention of reviving its assignor’s corporate powers was that it permitted the trial court to relieve the defendant from waiver of the capacity argument, which the defendant had failed to raise at the earliest opportunity. (Cal-Western, supra, 221 Cal.App.4th at p. 313.) Here, Defendant raised the objection by Demurrer, its first response to the Complaint, so no relief from waiver is required.

Plaintiff further argues that the policy Cal-Western protects is attenuated where the assignment preceded this litigation by years and formed part of a commercial film license. (Opp., p. 10:14-19.) That is the argument Cal-Western rejected. The assignee there urged that an assignee in good standing should be permitted to sue regardless of the assignor's standing, because the purpose of Revenue and Taxation Code section 23301 is to motivate delinquent corporations to pay their taxes, and that purpose is not served by punishing an assignee that has met its own obligations. (Cal-Western, supra, 221 Cal.App.4th at p. 314.) The court answered that if the assignee of a suspended corporation's claim were not subject to the same incapacity, a suspended corporation could sell its claim to a third party without ever curing the default that caused the suspension, circumventing the restrictions the Revenue and Taxation Code imposes on litigation-related activities and removing the pressure the statute applies. (Ibid.) That reasoning does not depend on when the assignment was made or on what prompted it.

Plaintiff further argues that Defendant's two payments after the assignment acknowledged that the assignment was valid, and that a suspended corporation's contracts are voidable rather than void. (Opp., pp. 10:19-11:2.) Defendant does not contend that the assignment is invalid. (Reply, p. 7, fn. 3.) Defendant challenges Plaintiff's capacity to sue on the assignment. Whether the instrument is valid is a separate question. Plaintiff also argues that judicially noticed records cannot resolve disputed facts against the pleading. (Opp., p. 11:3-7.) Plaintiff concedes the suspension, so the Secretary of State and Franchise Tax Board records resolve no disputed fact. (Opp., p. 9.)

The Court concludes that Plaintiff, suing as the assignee of a corporation that could not have prosecuted this action in its own name, cannot maintain it. Accordingly, the Demurrer to the Complaint is sustained on the ground that Plaintiff lacks the legal capacity to sue.

II. Leave to Amend

Defendant asks that the Demurrer be sustained without leave to amend and that the Complaint be dismissed. (Reply, pp. 5-8, 13.) Plaintiff asks that the action be stayed to permit cure. (Opp., pp. 11-12.)

Leave to amend is granted where there is a reasonable possibility the defect can be cured, and “[t]he burden of proving such reasonable possibility is squarely on the plaintiff.” (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) That showing is not confined to the pleading. The Court therefore considers the Selassie declaration on the question of leave to amend, and not in ruling on the Demurrer.

A corporation whose powers are suspended may commence an action, but it may not maintain one. (United Medical, supra, 49 Cal.App.4th at pp. 1739-1740.) A certificate of revivor issues without prejudice to any action, defense, or right that accrued by reason of the suspension. (Rev. & Tax. Code, § 23305a.) Revival validates procedural steps taken during the suspension. It does not disturb substantive defenses that accrued during it. (Center for Self-Improvement & Community Development v. Lennar Corp. (2009) 173 Cal.App.4th 1543, 1554 (Center for Self-Improvement).) The statute of limitations “is not a procedural right but is a substantive defense.” (Welco Construction, Inc. v. Modulux, Inc. (1975) 47 Cal.App.3d 69, 73 (Welco).) When a corporation commences an action while its powers are suspended, the limitations period continues to run, and if the period expires before revival, the action is barred. (Id. at pp. 71-73; ABA Recovery Services, Inc. v. Konold (1988) 198 Cal.App.3d 720, 725.)

That rule reaches an assignee. In Cleveland v. Gore Bros., Inc. (1936) 14 Cal.App.2d 681 (Cleveland), the plaintiff sued as the assignee of a corporation whose corporate rights, privileges, and powers had been suspended for nonpayment of taxes before the action was commenced. (Id. at p. 682.) She filed within the limitations period and while the suspension continued, and the assignor’s powers were revived only after the period had run. (Ibid.) The trial court concluded “that plaintiff … being the agent and trustee of and for [the assignor] for the commencement and prosecution of this action, was subject to the same incapacities with respect to its commencement and prosecution as [the assignor], during the period of time that its corporate rights, privileges and powers were suspended.” (Id. at pp. 682-683.) It further concluded that the revivor “did not have retroactive effect in respect to the commencement and prosecution of said action,” and that the action “did not toll the Statute of Limitations.” (Id. at p. 683.) The Court of Appeal affirmed. (Ibid.)

Here, the corporate powers of Chase Hollywood Inc. were suspended when the Complaint was filed on April 7, 2026, and the records the Court has noticed show that the suspension continued when Defendant filed the Demurrer. (RJN, Exhs. D, E.) No party contends that a certificate of revivor has since issued. Plaintiff sues as the assignee of Chase Hollywood Inc. and takes the claim subject to the defenses assertable against it. (Cal-Western, supra, 221 Cal.App.4th at pp. 311-312.) The filing therefore did not toll the limitations period.

Both causes of action rest on the same alleged failure to pay the third installment. (Compl., ¶¶ 18, 22.) The Complaint alleges that the payment came due on June 23, 2022. (Compl., ¶ 14.) Four years from that date is June 23, 2026. That is the longest period available to Plaintiff on any reading of the pleading. Defendant contends that the claim accrued earlier, on March 13, 2022, and that a two-year period governs the second cause of action. (Dem., pp. 16-19.) The Court need not resolve either contention, because the period has expired under the reading most favorable to Plaintiff, and it expired while the action could not be maintained.

Plaintiff’s showing addresses capacity and not timeliness. Plaintiff represents that Chase Hollywood Inc. has filed its outstanding returns with the Franchise Tax Board, has submitted an Application of Relief From Contract Voidability, and is negotiating the terms of an installment agreement. (Selassie Decl., ¶ 5.) These steps, if completed, would restore capacity. They would not restore a limitations period that has run. A revivor obtained now would issue without prejudice to the defense that accrued in the interval. (Rev. & Tax. Code, § 23305a.)

Plaintiff argues that revivor retroactively validates acts taken during a suspension. (Opp., pp. 7, 9-10.) It validates procedural steps. It does not disturb a substantive defense that accrued in the meantime. (Center for Self-Improvement, supra, 173 Cal.App.4th at p. 1554.)

A stay is the ordinary remedy for a plea of this kind, and the authorities Plaintiff invokes ordinarily support one. (Opp., pp. 11-12.) In each of them, revival came in time. (Traub Co., supra, 66 Cal.2d at p. 370 [revival before trial sufficient to permit the corporation to maintain the action]; Peacock Hill Assn. v. Peacock Lagoon Constr. Co. (1972) 8 Cal.3d 369, 371; A. E. Cook Co. v. K S Racing Enterprises, Inc. (1969) 274 Cal.App.2d 499, 500.) Welco addressed the situation presented here. The plaintiff there obtained the very relief Plaintiff requests, a continuance for the purpose of reviving the corporation, and obtained its certificate of revivor. The action was nonetheless barred, because the limitations period had run in the interval. (Welco, supra, 47 Cal.App.3d at pp. 71-73.)

Nor does relation back assist Plaintiff. (Opp., pp. 12-13.) Relation back treats an amended pleading as filed on the date of the original. It does not alter the effect of the original filing. As in Cleveland, the filing of this action, while Chase Hollywood Inc. was suspended, does not toll the limitations period.

Plaintiff has not shown a reasonable possibility that the defect can be cured. Leave to amend is denied.

III. Motion to Strike

Defendant asks the Court to strike Plaintiff’s request for punitive damages at paragraph 3 of the Prayer. The Demurrer is sustained without leave to amend as to the entire Complaint, so no pleading remains from which the request could be stricken. The Motion to Strike is denied as moot.

CONCLUSION

The Demurrer is sustained without leave to amend. The Motion to Strike is denied as moot.